

170 Michaela Drive — Strategy Matrix

Alpharetta, GA 30009 · 6 bd / 5.5 ba · ~5,120 sq ft · Ask \$1.82M · Completion \$173K · Underwriting ARV \$2.5M

Seven exit strategies tested against the same asset, same entry (\$1.82M ask), same conservative \$2.5M finished value (the \$3.0M claim is treated as upside, per the companion deal-analysis report). Ranked by risk-adjusted return on *your* cash.

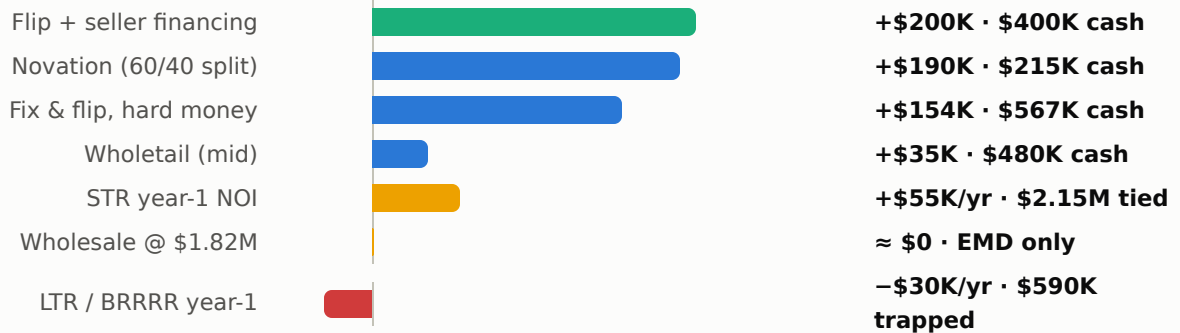
The leaderboard

	STRATEGY	EST. PROFIT	CASH NEEDED	CASH-ON-CASH	TIMELINE	CALL
A-	1 · Flip with seller financing	≈ \$185–215K	≈ \$400K	≈ 45–50%	8 mo	Best structure if seller will carry
B+	2 · Fix & flip, hard money (base plan)	≈ \$154K (\$624K @ \$3.0M)	≈ \$567K	≈ 27%	8 mo	Proven path; works today
B+	3 · Novation with the seller	≈ \$190K (60% split)	≈ \$215K	≈ 88%	6–8 mo	Highest ROI; needs a willing, solvent seller
B	4 · Buy as personal residence	≈ \$400–500K equity	≈ \$420K down	n/a	Immediate	Wildcard — instant equity at \$355/sq ft
C	5 · Wholetail (clean & resell as-is)	≈ \$10–60K	≈ \$480K	≈ 2–12%	3–4 mo	Only as a bail-out if diligence sours
C-	6 · Short-term rental (Airbnb)	≈ \$55K/yr NOI	\$2.15M+ tied up	≈ 2.5% yield	Ongoing	Legal since Jan 2025, but yield doesn't work
D	7 · BRRRR / long-term rental	≈ –\$1.5 to –3K/mo	≈ \$590K trapped	Negative	Ongoing	DSCR ≈ 0.86 — refi won't pencil. Kill
D	8 · Wholesale / assign the contract	≈ \$0 at \$1.82M	EMD only	—	30–45 d	No honest spread unless you contract ≤ \$1.60M

Headline result. This asset is a **seller — not a keeper**. Every hold strategy fails on yield (a \$2.5M house renting at ~\$11K/mo is a ~3.5% cap against 7%+ debt), and every quick-exit strategy is squeezed by the thin honest spread at a \$1.82M entry. The money is in **finishing and retailing it** — and the structure you use to get there (seller carry > hard money > novation, by fit) is worth \$30–60K of extra profit and \$150K+ of freed-up cash.

Profit vs cash committed, by strategy (base case, \$2.5M exit)

Bar = estimated net profit · label shows cash required. Rental strategies shown as first-year result.



Prepared for Cleeford Faustin · Companion to "170 Michaela Drive — Deal Analysis" (Jul 4, 2026). Sources:

Redfin/Zillow/Movoto/Houzeo listing records; Redfin & Houzeo Alpharetta market reports; Rent.com/Homes.com Alpharetta rental data; City of Alpharetta STR Ordinance No. 881 (Jan 2025) via Lisa Shippel Law & Appen Media. Estimates for decision support, not an appraisal.

1 · Hold strategies — tested and rejected

Long-term rental / BRRRR

D

LINE	VALUE
Market rent (5,120 sq ft luxury, 30009)	\$10.5-12.5K/mo
Modeled rent / gross income	\$11,000 · \$132K/yr
Vacancy 5% · mgmt 8% · maint/reserves	-\$23,100
Taxes (reassessed ~\$2.4M) + insurance	-\$35,000
NOI	≈ \$72K/yr
Cap rate on \$2.06M basis	≈ 3.5%
DSCR refi @ 75% LTV, 7.25%/30yr — payment	≈ \$12.8K/mo
DSCR = rent ÷ payment	≈ 0.86 — FAILS

A DSCR lender sizing to 1.1× caps the loan near **\$1.47M**, trapping ≈ **\$590K** of your capital and still leaving the property roughly **\$1.5-3K/mo negative** after full expenses. The BRRRR "infinite return" mechanic is mathematically unavailable here — luxury SFRs don't rent in proportion to their value.

Short-term rental (Airbnb/VRBO)

C—

LINE	VALUE
ADR est. (6BR luxury, Avalon/downtown draw)	\$650-900
Occupancy est.	~55%
Gross revenue	≈ \$140K/yr
Mgmt 18% · utilities · supplies · STR insurance	-\$56,000
Taxes + license/fees	-\$29,000
NOI	≈ \$55K/yr
Furnishing capex (one-time)	-\$80-100K
Yield on ~\$2.15M all-in	≈ 2.5%

Regulatory reality (Ordinance No. 881, in force since Jan 2025): STRs are legal in Alpharetta single-family homes with an annual city license — but licenses are capped at **5% of homes per neighborhood**, **no two STRs may be adjacent on the same street**, 8% lodging tax applies, parking must be 1 off-street space per bedroom, and renewals are due each Jan 31. Your license is therefore **not guaranteed** — and a \$2.15M asset earning ~2.5% doesn't justify the operational load even if granted.

Why holds fail here in one sentence: rent scales with bedrooms, but this asset's value scales with finish and location — so at \$2.5M of value and ~\$132K of achievable rent, every hold structure is buying a bond that yields less than its own debt costs.

Personal residence wildcard

B

If you (or a buyer in your network) want to *live* in downtown Alpharetta: buying at \$1.82M + \$173K completion = **\$1.99M basis on a home worth ~\$2.4-2.55M finished** — roughly **\$400-500K of move-in equity**, top Fulton schools (Milton HS feeder), walkable to Main Street and the Alpha Loop. A 20% jumbo down (~\$420K including completion cash) at today's rates carries it for roughly what a comparable rental would cost, with the equity as the prize. This is the one "hold" that works, because it's priced against comps, not cap rates.

2 · Quick-exit strategies — the spread test

Wholesale / assignment D

An end flipper underwriting honestly (72-75% of a \$2.5M ARV, minus \$173K completion) can pay at most **≈ \$1.63-1.70M**. Your ask is \$1.82M — there is **no assignable spread at these numbers**. A wholesale deal here only "works" by selling the \$3.0M ARV story to a less-informed buyer, which risks blown closings and your reputation.

END-BUYER MATH	VALUE
73% × \$2.5M ARV – \$173K rehab	\$1,652,000
Your contract price needed for a \$75K fee	≤ \$1,577,000
Verdict at \$1.82M ask	No spread

Revisit only if the seller capitulates below ~\$1.60M — then a \$50-90K assignment to a luxury builder/flipper becomes clean and honest.

Novation agreement B+

Don't buy it — partner with the seller: you fund the \$173K completion + staging + carry (~\$215K total), control the listing, and split everything above the seller's \$1.82M floor.

WATERFALL @ \$2.5M SALE	VALUE
Net after 6% sale costs	\$2,350,000
Less seller floor (\$1.82M) + your costs (~\$215K)	\$315,000 pool
Your 60% of pool → return on \$215K	≈ \$190K · ~88% CoC

No acquisition closing costs, no hard-money points, no transfer tax — the highest ROI structure tested. Requires a solvent, cooperative seller, ironclad written agreement (memorandum recorded, funds through escrow, deed-in-escrow or performance mortgage as security), and clean title. If the seller is a distressed builder LLC, this is often exactly what they want.

Wholesale C

Buy, spend ~\$15K on cleanup/staging only, resell as-is (unfinished) at \$1.95-2.05M to an owner-occupant who'll finish it their way, or a builder.

SCENARIO (3-4 MO)	NET PROFIT
Resale \$1.95M (6% sale costs, cash purchase)	≈ +\$8K
Resale \$2.00M	≈ +\$35K
Resale \$2.05M	≈ +\$60K
If entry negotiated to \$1.70M, resale \$2.0M	≈ +\$150K

Real role: the **capital-preservation bail-out** if post-closing diligence surfaces problems that make the full completion unattractive. Not the primary plan.

Flip with seller financing A-

Trade price for terms: offer **\$1.87M with the seller carrying 90% at 6% interest-only, 12-month balloon**. Versus hard money you skip ~\$33K in points and save ~4.5% in rate — worth **≈ \$80K** against a \$50K price concession.

@ \$2.5M EXIT, 8-MO HOLD	VALUE
Financing cost (6% IO on \$1.68M, 8 mo)	≈ \$67K vs \$141K HM
Net profit	≈ \$185-215K
Cash required / cash-on-cash	≈ \$400K · ~45-50%

A distressed seller who already carried this house for a year often prefers a strong down payment + short note at a *higher headline price* over another \$50K price cut. Pitch both: "\$1.70M cash, or \$1.87M on terms."

Decision tree — what to actually do

IF...	THEN...
Seller will carry paper (ask first)	Flip w/ seller financing at $\leq \$1.87\text{M}$ on terms $\rightarrow \sim \$200\text{K}$, half the cash of hard money
Seller wants all cash, will take $\leq \$1.82\text{M}$	Hard-money flip (base plan from the deal-analysis report) $\rightarrow \sim \$154\text{K}$ base, $\$624\text{K}$ if the $\$3.0\text{M}$ story proves
Seller won't sell at a workable price but is stuck	Pitch a novation : their floor stays $\$1.82\text{M}$, you take 60% of everything above
Diligence finds CO/lien/defect problems after you own it	Wholesale out at $\$1.95\text{--}2.05\text{M}$; preserve capital
You can contract below $\sim \$1.60\text{M}$	Optional wholesale for a fast $\$50\text{--}90\text{K}$, or keep it — the flip margin is fat at that entry
Someone in the family wants to live in Alpharetta	Buy it as a residence — $\sim \$400\text{--}500\text{K}$ of instant equity is the quiet winner
Anyone proposes renting it, long- or short-term	Decline — DSCR 0.86 and a 2.5% STR yield are the math's final answer

Bottom line across all eight tests. 170 Michaela is a **finish-and-sell asset**. Lead with the seller-financing offer, fall back to the hard-money flip, keep novation in your pocket for a stuck seller, and use wholesale as the parachute. Every rental path destroys value at this price point — and an honest wholesale spread doesn't exist above a $\$1.60\text{M}$ contract.

Sources: Redfin — 170 Michaela Dr & Alpharetta market · Zillow · Movoto · Houzeo · Rent.com & Homes.com Alpharetta rentals · City of Alpharetta STR Ordinance No. 881 (Lisa Shippel Law; Appen Media; STR Profit Map). Rent, ADR, tax, and rate figures are estimates — verify with local property managers, the City of Alpharetta, and your lender before committing capital. Prepared July 4, 2026.